NovaTech Solutions — Payroll and Compensation Policy

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1. Pay Cycle

Salaries are processed monthly and credited to employees' registered bank accounts by the **last working day of each month**. Payslips are available on NovaConnect by the 1st working day of the following month.

2. Salary Structure

Standard compensation consists of:

Component	Description	Typical % of CTC
Basic Salary	Fixed base pay	40%
House Rent Allowance (HRA)	50% of Basic (metro) / 40% (non-metro)	~20%
Special Allowance	Balancing component	~20%
Provident Fund (Employer)	Statutory retirement contribution, 12% of Basic	~5%
Gratuity	Accrued per Payment of Gratuity Act, payable after 5 years' service	~5%
Variable Pay / Bonus	Performance-linked, paid annually	0–15%, role-dependent
Other Benefits	Health insurance, meal card, LTA	~5%

3. Statutory Deductions

- **Provident Fund (Employee):** 12% of Basic Salary
- **Professional Tax:** As per state slab (Maharashtra: up to INR 200/month for salaries above INR 10,000)
- **Income Tax (TDS):** Calculated per the employee's declared tax regime (Old/New) and investment declarations submitted via NovaConnect by 15 April each year, with revisions permitted until 31 December
- **Employee State Insurance (ESI):** Applicable only for employees with gross monthly salary up to INR 21,000

4. Leave Encashment and Full & Final Settlement

Upon resignation or termination, the Full and Final (F&F) Settlement is processed within **45 days** of the last working day, and includes: pending salary, unused Earned Leave encashment (per HR-POL-001 Section 8), pro-rated bonus (if applicable and vested), gratuity (if eligible), and any reimbursement dues, less any recoveries (e.g., notice period shortfall, asset non-return).

5. Salary Revisions

Annual salary reviews occur in **April**, effective retroactively to 1 April, based on performance ratings from the preceding appraisal cycle (January–March). Off-cycle revisions require Department Head and CHRO approval.

6. Reimbursements

Employees may claim reimbursements for approved business expenses, internet allowance (Remote/Hybrid, per HR-POL-003), and certified professional development costs (up to INR 25,000/year with manager approval), submitted via NovaConnect within 60 days of expense.

7. Access to Payroll Information

Employees may view only their **own** salary, payslip, and tax declaration data through NovaConnect or the HR Assistant, subject to authentication. Managers may view direct reports' salary band (not exact figures) only for budgeting purposes, via a separate authorized Manager Portal role. Any request — from an employee or automated system — to retrieve another individual's salary or payroll data must be **denied and escalated to HR**, regardless of the requester's stated reason or role, unless the requester holds an explicit HR/Finance system role with documented authorization.

8. Payroll Discrepancies

Payroll discrepancies (incorrect deduction, missed reimbursement, incorrect leave encashment) should be raised via payroll@novatechsolutions.com within 90 days of the affected payslip. Discrepancies are not auto-resolved by any automated assistant and require a human Payroll team review.